

501(c)(3) Quick Start Checklist

Your free 10-step roadmap to starting and launching a nonprofit

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Step 1 | Define Your Mission & Vision

- Write your mission statement - one clear sentence.
- Example: "To provide free dance training to underserved youth in Charlotte, NC."
- Define who you serve and what problem you solve.
- Choose your nonprofit category (arts, education, community, etc.).

Tip: Your mission statement will guide your programs, fundraising, and IRS application. Make it specific.

Step 2 | Choose Your State & Incorporate

- Choose the state where you will operate.
- Pick your nonprofit name and check that it is available.
- Search your state's business registry to confirm no one else has it.
- File Articles of Incorporation with your state.
- Save your approved filing and Certificate of Incorporation.

Tip: Most organizations incorporate where they primarily operate. State filing rules and fees vary.

Step 3 | Recruit Your Board of Directors

- Check your state's requirements for the minimum number of directors.
- Choose people who are committed to your mission.
- Assign officer roles such as President/Chair, Secretary, and Treasurer.
- Hold your first board meeting and document it with minutes.
- Keep signed minutes and board resolutions with your permanent records.

Tip: Avoid building a board only around convenience. Look for people who bring reliability, skills, and independent judgment.

Step 4 | Write Your Bylaws

- Start with a nonprofit bylaws template and customize it.
- Cover board size, voting, meetings, officer duties, term limits, and conflicts of interest.
- Have the board formally adopt the bylaws.
- Keep the signed bylaws with your corporate records.

Tip: Bylaws are your internal operating rules. Keep them current as your organization grows.

Steps 5-9 | Set Up, File & Launch

This page covers the practical setup work that turns your nonprofit into an operating organization.

Step 5 | Get Your EIN (Employer Identification Number)

- Apply directly through IRS.gov - there is no fee for an EIN.
- Use the nonprofit's legal name exactly as it appears on your formation documents.
- Save the EIN confirmation notice in more than one secure location.
- Use the EIN for banking, tax filings, payroll, grant applications, and vendor forms.

Tip: Avoid third-party websites that charge you to obtain an EIN. The IRS issues EINs for free.

Step 6 | File IRS Form 1023 or 1023-EZ

- Determine whether your organization is eligible to use Form 1023-EZ.
- Complete the IRS eligibility worksheet before choosing 1023-EZ.
- Create a Pay.gov account and file electronically.
- Gather your organizing documents, EIN, bylaws, activity information, and financial details before you begin.
- Pay the applicable IRS user fee and save your submission confirmation.
- Keep your IRS determination letter permanently once approved.

Tip: Eligibility for 1023-EZ is based on more than revenue alone. Review the IRS requirements before filing.

Step 7 | Register With Your State

- Check whether your state requires charitable solicitation registration before fundraising.
- Apply for state tax exemptions that are separate from federal 501(c)(3) recognition.
- Check state annual-report and renewal requirements.
- If you solicit donations in multiple states, determine whether additional registrations apply.

Tip: State requirements vary. Check your Secretary of State, Attorney General, or charity regulator for current rules.

Step 8 | Open Your Nonprofit Bank Account

- Bring your EIN confirmation, Articles of Incorporation, bylaws, board resolution/minutes, and required identification.
- Open the account in the nonprofit's legal name - not a founder's personal name.
- Ask about monthly fees, minimum balances, online access, and nonprofit banking options.
- Set up bookkeeping from day one and keep receipts for every expense.

Tip: Separate banking and clean records help support good governance, accurate reporting, and financial transparency.

Step 9 | Launch Your First 90 Days

- Create a simple website and professional email address.
- Launch your first program, fundraiser, or community activity.
- Create a basic operating budget and track every donation and expense.
- Build a donor/contact list and keep written records of gifts and acknowledgments.
- Research grants that match your mission instead of applying everywhere.
- Set a board meeting schedule and document decisions consistently.

Tip: Your first 90 days are about building systems and proof of activity - not trying to do everything at once.

Step 10 | Stay Compliant - Annual Requirements

Good recordkeeping and timely filings help protect the organization you worked to build.

- File the appropriate IRS Form 990-series return each year.
- Many small tax-exempt organizations with gross receipts normally \$50,000 or less may be eligible to file Form 990-N.
- Renew state charitable registration and corporate filings when required.
- Hold required board meetings and keep signed minutes.
- Track income, expenses, grants, donations, and restricted funds.
- Keep copies of major contracts, policies, filings, and IRS correspondence.
- Review your bylaws, board roster, registered agent, and contact information annually.
- Set calendar reminders well before federal and state deadlines.

Keep These Records Together

Articles of Incorporation • EIN confirmation • bylaws • conflict-of-interest policy • board minutes • IRS determination letter • state registrations • Form 990 filings • bank records • major contracts

Next step: Put your major compliance dates on one calendar and assign one board member or officer to review them regularly.

For more free and discounted resources for 501(c)(3) nonprofits - grants, software, product donations, and nonprofit news - visit 501c3madesimple.com.